

Purchase orders: process map

Current state and future state, version 2. Attached to the brief "Purchase orders - raise and approve".

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Module	Purchase Orders
Status	Submitted with brief

1. Scope

Raising, approving and recording purchase orders for project materials, plant hire and subcontract services across all live projects. Excludes credit card purchases under \$500 and standing supply agreements, which stay as they are.

2. Current state

#	STEP	WHO	SYSTEM	TYPICAL TIME
1	Requester fills the PO template and attaches the supplier quote	Site or project staff	Excel	15 min
2	PO emailed to the project manager for signature	Requester	Outlook	Same day
3	Project manager reviews, signs, returns by email	Project manager	Outlook, PDF	0.5 to 2 days
4	Over \$25,000: forwarded to the Head of Finance for a second signature	Project manager	Outlook	1 to 3 days
5	Signed PO sent to the supplier and copied to accounts	Requester	Outlook	Same day
6	Accounts re-keys the PO into the ERP	Accounts	ERP	10 min each, about 40 a week
7	Invoice arrives; accounts matches it to the PO from memory and the email chain	Accounts	ERP, Outlook	Variable

3. Pain points

- Visibility** Committed cost is invisible until the invoice lands. Project managers cannot see what is outstanding against their budget.

- **Re-keying** About four hours a week in accounts, plus the occasional typo in supplier, amount or project code.
- **Routing** The \$25,000 rule is applied by memory. Two POs this year went out on one signature that needed two.
- **Audit** The approval trail is an email chain. Finding who approved what, and when, takes a search.

4. Future state

#	STEP	WHO	WHERE
1	Raise the PO against a project with line items, GST calculated, quote attached	Requester	Platform
2	Routing decided by the ex GST total. One approver under \$25,000, two at or over	System	Platform
3	Approve or reject with a note, from a phone	Approvers	Platform
4	Approved PO posts to the ERP as committed cost, no re-keying	System	Platform to ERP
5	Invoice matched to the PO; status flows back to the platform	Accounts, system	ERP to platform

5. Approval routing rule

Under \$25,000 ex GST: the project manager approves.

\$25,000 ex GST and over: the project manager, then the Head of Finance.

Threshold is ex GST. Rule is shown on the raise screen.

6. Definition of done

- **Production** Raise, route, approve and post working for all four live projects.
- **Signed off** Priya Nair and Helen Marsh.
- **README** Purpose, data model, ERP integration, known limits.
- **Owner** Priya Nair named as internal owner.

7. Open questions

1. Receipting and three-way match: in this module or the next?
2. Do standing supply agreements need a PO at all, or a monthly summary?
3. Who holds the ERP API credentials, and is there a test company?